AUDIT & ASSURANCE

Suggested Answers
May 2026

Answer to Question# 1(a):

TFL Ltd. requires an enhanced range of services this year including the review and implementation of additional control systems. The provision of these services gives rise to the following risks :

Adequate resources

Ajmol & Partners must assess whether they have the necessary expertise and resources to provide these services. As Ajmol & Partners is a firm with three partners, it must ensure that it has sufficient staff with the appropriate skills and experience to undertake this work.

Self-review threat

There is a self-review threat. If Ajmol & Partners implements new control systems, it may subsequently audit those same systems as part of the statutory audit. To mitigate this threat, different staff members should be assigned to implement and audit the systems. Preferably, separate departments within the firm should undertake these engagements. If sufficient staff are not available, Ajmol & Partners should decline the additional engagement.

Acceptance of non-audit work

There is a possibility that Ajmol & Partners could breach ethical or statutory requirements by accepting this engagement. The firm should ensure that it complies with the applicable Ethical Standards to minimize any self-review threat. .

Fee income

Acceptance of the additional work will increase the fee income earned from TFL Ltd. The Code of Ethics states that amount of fee income derived from any one audit client should not constitute a substantial proportion of the firm's total fee income . Ajmol & Partners should ensure that the total fee income received from TFL Ltd. does not breach these ethical guidelines.

Client growth

TFL Ltd. is growing rapidly. The company has poor internal controls, resulting in a high risk of material misstatement in the financial statements. Ajmol & Partners should ensure that sufficient staff with the appropriate level of experience are assigned to the engagement and that adequate time is allocated to complete all necessary audit procedures.

Internal audit

Client expectations regarding the use of the internal audit function may be difficult to meet. As it is a newly established department, the internal auditors will require time to understand TFL Ltd.'s systems and produce useful reports. Any expectation of reduced audit fees should be managed carefully, and the external auditor must ensure that audit procedures are not reduced due to fee pressure.

Association threat

TFL Ltd. is developing a new mobile telephone. The legal status of the telephone is currently uncertain, and it may be illegal. Ajmol & Partners should assess the likelihood that the product is illegal. The firm may not wish to be associated with a company manufacturing or selling illegal products.

Report on cash flow

The mobile telephone application also requires a report on TFL Ltd.'s cash flow forecast. This will be a separate engagement, and presents a risk because TFL Ltd. may attempt to present an unrealistically favorable cash position in its forecast. Ajmol & Partners should determine the exact nature of the required report (positive or negative assurance) and ensure that it has sufficient time and staff with the necessary expertise to perform the engagement.

Possible going concern issues

It is unclear whether the failure to obtain the new mobile telephone licence would cause TFL Ltd. to cease being a going concern. Ajmol & Partners should carefully review the company's cash flow forecasts and other relevant evidence to assess its ability to continue as a going concern.

Answer to the Question# 1(b)(i)

The ISQM 2 (para 18) stipulates the eligibility criteria for the engagement quality reviewer. Generally, the reviewer shall be another partner within the firm. However, the review may also be performed by a partner from another firm. The reviewer must:

(a) have the competence and capabilities, including sufficient time and appropriate authority to perform the review.

(b) Comply with the relevant ethical requirements; and

(c) Comply with the provisions of relevant laws and regulations.

Answer to the Question# 1(b)(ii)

As per para 19 of ISQM 2, the minimum cooling-off period for a former engagement partner to become eligible to serve as an Engagement Quality Reviewer (EQR) is two years.

Answer to Question# 2(a)(i):

In assessing the ethical implications of this engagement, it is important to consider not only individual threats but also how they interact within the broader governance environment. The unusually high audit fee creates a self-interest threat, which becomes more significant when combined with management's urgency and the prior auditor's resignation, indicating possible pressure to align audit outcomes with management's expectations. The familiarity threat arising from the partner's relationship with the CFO is particularly critical in the Bangladesh context, where corporate relationships often influence decision-making. This may impair professional scepticism. The firm's prior tax services introduce a self-review threat, especially if those services affect financial reporting areas. Furthermore, management's insistence on rapid completion introduces an intimidation threat, potentially discouraging challenge. Collectively, these threats point to heightened engagement risk and possible management integrity concerns.

Answer to Question# 2(a)(ii):

The safeguards implemented must be both practical and robust. The conflicted partner should be removed from the engagement, and an independent partner should be assigned. An Engagement Quality Review (EQR) should be mandatory given the listed status and high-risk nature of engagement. Professional clearance must be obtained with detailed follow-up regarding the reasons for the previous auditor's resignation. Non-audit services should be restricted or declined to eliminate self-review threats. Increased involvement of senior personnel and documentation of key judgements will further mitigate the identified risks.

Answer to Question# 2(a)(iii):

Under ISA 220 and ISQM 1, engagement acceptance is conditional upon the client's integrity, the auditor's independence and firm's competence. The unresolved issues regarding previous auditor's resignation and the valuation disputes indicate potential concerns regarding management's integrity.. Therefore, acceptance of the engagement should be deferred pending full clarification. If the available evidence suggests management bias or lack of transparency, declining the engagement would be the most appropriate course of action to protect audit quality and firm's reputation.

Answer to Question# 2(b)(i):

The expectation gap arises because users believe that auditors provide absolute assurance and detect all fraud, whereas, in reality, auditors provide reasonable assurance, subject to inherent limitations such as sampling and professional judgment.

Answer to Question# 2(b)(ii):

Regulators such as the FRC and Bangladesh Bank play a critical role in enhancing audit quality through inspection and enforcement. Auditors must complement this by maintaining independence, exercising professional scepticism, and ensuring compliance with applicable auditing standards.

Answer to Question# 3(a):

The following steps should be taken:

- Review and obtain photocopies of documents that have aroused her suspicions
- Enquire into the reasons for altered pages in the books and other documents etc
- Investigate any apparent override or circumvention of company procedures, for example, the cancellation of a sales invoice instead of issuing a credit note
- Review previous management letters to identify any control weaknesses that may have facilitated the misappropriations
- Consider credit controller's motives for putting chief accountant under suspicion eg, working relationship/job threat
- Take note of chief accountant's standard of living andmake enquiries about their lifestyle
- Consider whether any past dealings with chief accountant have cast doubt on their integrity
- Increase analytical procedures on revenue and receivables eg, monthly revenue/receipts of major customers/extend circularisation if trade receivables collection period has increased
- Discuss with engagement partner, who may wish to discuss with the client (eg, board of directors)

Answer to Question# 3(b):

There are various genuine reasons for difference between sales revenue reported in the accounting records and sales revenue reported in the VAT return. Despite having the scope of such difference, the clarification sought by the regulator reflects the expectations gap regarding users' understanding of assurance reports, particularly the auditor's reports and the firm's legal responsibilities. For example, users of the financial statements may well expect that an audit engagement involves the checking every single transaction, whereas the auditor considers testing transactions on a sample basis to be sufficient for obtaining reasonable assurance.

Answer to Question# 3(c):

According to the concept of professional skepticism, auditors apply professional skills and judgment when evaluating audit evidence. Accordingly, no opinion can be expressed on whether the financial statements give a true and fair view until:

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- Management's assertions have been thoroughly tested.
- Audit evidence has been critically evaluated and considered sufficiently persuasive.
- Alternative accounting treatments for items in the financial statements have been considered

Therefore, to verify the genuineness of fixed deposit of XYZ Ltd, the auditor should physically verify the documents of fixed deposit and obtain direct balance confirmations from the relevant bank.

Answer to Question# 4(a):

The expectations of a qualified senior are as follows:

- The work is properly conducted in accordance with audit plan and audit programmes
- Working papers are prepared to the required standard, and sufficient and appropriate audit evidence is properly documented.
- Conclusions reached are valid and supported by the audit evidence.
- Matters requiring further consideration are appropriately identified.
- Working papers are properly headed, initialed, dated.

Answer to Question# 4(b):

Before taking any client documents out of the client's office, the following issues should be carefully considered.

- The auditor must obtain the client's permission before moving any files from the client's office.
- The auditor should ensure that taking client documents off-site is permitted under the firm's policies and that all required approvals have been obtained from the engagement manager or partner.
- In accordance with the fundamental principle of confidentiality under the applicable Code of Ethics, client information must be protected from unauthorized access or disclosure. Appropriate safeguards should be in implemented during transportation and while the documents are kept outside the client's premises.

Answer to Question# 4(c):

The benefits of a system of quality management include:

- A high and consistent standard of all audit work completed
- Registered auditors are regarded as professionals who comply with professional standards
- The quality of the work performed can be measured against applicable standards
- Individuals within the firm know whether the work they have completed meets the required standard

Answer to Question# 4(d)(i):

The most significant audit risk relates to revenue recognition, as the sharp increase in revenue near year-end suggests possible cut-off manipulation or premature revenue recognition. This risk is material due to its direct impact on profitability and compliance with loan covenants. Inventory overstatement is another key risk, given the doubling of inventory without a corresponding increase in storage capacity, raising concerns regarding the existence and valuation of inventory. The presence of manual adjustments indicates a risk of management override of controls, thereby increasing the risk of fraud under ISA 240. Additionally, pressure to meet loan covenants creates an incentive for earnings manipulation, further heightening the overall audit risk.

Answer to Question# 4(d)(ii):

The audit response should be targeted and risk-driven. Cut-off testing should focus on transactions occurring around year-end to detect premature revenue recognition. Physical verification of inventory should be performed, together with valuation testing of slow-moving and obsolete inventory. Manual journal entries should be analysed using data analytics to identify unusual or high-risk patterns. Compliance with loan covenants should be recalculated independently. Throughout the engagement, the auditor must challenge management's assumptions and avoid relying on unsupported explanations, thereby demonstrating professional scepticism.

Answer to Question# 5(a):

Management's disclosure of the going concern uncertainty appears to be incomplete. While the existence of financial difficulties is acknowledged, reliance on uncertain future contracts without adequate supporting evidence reduces the reliability of disclosures. Under ISA 570, disclosures must provide sufficient information to enable users of the financial statements to understand the nature and significance of the material uncertainty.

Answer to Question# 5(b):

The company exhibits clear indicators of material uncertainty, including liquidity constraints and declining financial performance. The auditor must assess whether management's assumptions are reasonable and supported by sufficient appropriate evidence.

Answer to Question# 5(c):

If the disclosures are adequate, the auditor should express an unmodified opinion and include a separate material uncertainty Related to Going Concern section in the auditor's report . However, if the disclosures are inadequate, the auditor should express a qualified or an adverse opinion, depending on the materiality and pervasiveness of the omission.

Answer to Question# 5(d):

It is important to distinguish between Key Audit Matters (KAMs), an Emphasis of Matter paragraph and the Material Uncertainty Related to Going Concern section in the auditor's report. Key Audit Matters (KAMs) communicate the areas of significant audit focus. An Emphasis of Matter paragraph is not appropriate in this case because ISA 570 (Revised) requires a separate Material Uncertainty Related to Going Concern section when a material uncertainty exists. The Material Uncertainty Related to Going Concern section specifically addresses material uncertainties relating to going concern and is required when such a material uncertainty exists and the disclosures are adequate.

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